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ACC 101: Introduction to Financial Accounting - Double Entry to Trial Balance

Learn the accounting cycle by doing it, one transaction at a time

FACULTY PRIMER

Faculty Primer

Faculty of Management Sciences
Accountancy | 100L

Written for students, by students.

Practical notes, worked examples, practice questions and a revision plan.

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Why this pack exists

Accounting is a skill, not a set of definitions. This pack walks you through the accounting equation, double entry, books of original entry, the trial balance and simple final accounts, with worked transactions you can replicate on paper.

This is a student-written study companion, not a reproduced lecture handout or a leaked examination paper. Use it to organise the topics you are taught, practise the kind of thinking your course rewards, and walk into class with better questions.

What you will be able to do

- Apply the accounting equation to record transactions correctly.
- Post transactions using double entry and balance a ledger account.
- Prepare a trial balance and identify errors it will not reveal.
- Prepare a simple income statement and statement of financial position.

How to use this pack

1. Skim the whole pack once in 20 minutes so you know what is inside.
2. Work through one section at a time with your lecture note and recommended text beside you.
3. Attempt the practice questions before reading the answers. Mark what you missed.
4. Use the final checklist to plan your revision week, one tick per study session.

> **Free to download, always**
> This pack is free. There is no fee, no subscription and no payment step before download, and the full PDF is not watermarked or locked. Share the link with a coursemate instead of forwarding the file.

> **Confirm your official course outline**
> Course codes, credit units and outlines can differ by department and session. Treat this pack as supplementary support and confirm the current outline with your lecturer, course rep or departmental handbook before an assessment.

The accounting equation

Every transaction preserves the relationship assets equals liabilities plus capital.

- Assets are resources controlled by the business; liabilities are obligations to outsiders; capital is the owner's residual interest.
- Increase in an asset is a debit; increase in a liability or capital is a credit.
- Expenses reduce capital and are debits; income increases capital and is a credit.
- Drawings reduce capital and are debits to the drawings account.
- Every transaction affects at least two accounts and keeps the equation in balance.

- Write the equation after every transaction until it is automatic.

> **Debit does not mean good**
> Debit simply means the left side of an account. Stop attaching moral meaning to it and the confusion disappears.

Books of original entry and the ledger

Transactions are first recorded in day books, then posted to the ledger, then summarised in the trial balance.

- Sales day book for credit sales; purchases day book for credit purchases.
- Returns inwards for goods returned by customers; returns outwards for goods returned to suppliers.
- Cash book combines cash and bank; treat it as both a book of original entry and a ledger.
- Journal entries record adjustments, corrections and non-routine transactions with narrations.
- Post to the relevant ledger accounts and balance them at the period end.
- Extract the trial balance from ledger balances to check arithmetic equality.

Errors and final accounts

A trial balance that balances is not proof of accuracy. Some errors cancel out.

- Errors not revealed: omission, commission, principle, original entry, reversal and compensating errors.
- Errors revealed: one-sided posting, wrong addition and transposition between accounts.
- Suspense accounts hold the difference until the error is found and corrected.
- Income statement: revenue minus cost of sales gives gross profit; minus expenses gives net profit.
- Statement of financial position: assets, liabilities and capital at a point in time.
- Adjust for accruals, prepayments, depreciation and closing inventory before finalising.

The accounting equation and double entry

Financial accounting records transactions and reports their effect on a business. Everything rests on the accounting equation: assets equal liabilities plus capital. Every transaction affects at least two elements, which is why the system is called double entry, and why the trial balance should always balance.

Debits and credits are not good and bad; they are left and right. Assets and expenses increase on the debit side; liabilities, capital and income increase on the credit side. Learn the direction for each category once, and the rest follows mechanically.

The journal records the transaction with its narration, the ledger groups entries by account, the trial balance lists balances, and the financial statements report the result. Each stage is a check on the previous one.

Preparing the statements

The statement of profit or loss matches income earned in a period against the expenses incurred to earn it, regardless of when cash moved. The statement of financial position reports assets, liabilities and capital at a point in time. Confusing a period with a point in time is a common error: one flows, the other is a snapshot.

Adjustments are where most marks are won or lost: accruals (expense incurred, not yet paid), prepayments (paid in advance), depreciation (allocation of the cost of a non-current asset over its useful life), bad and doubtful debts, and closing inventory. Each adjustment affects at least two figures.

Depreciation is not saving for replacement. It is the systematic allocation of cost. Straight-line divides cost less residual value by useful life; reducing balance applies a fixed percentage to the carrying amount.

> **Every adjustment has two sides**
> If you have changed one figure and not another, the statements will not agree. Ask which two accounts the adjustment touches.

Control accounts, errors and interpretation

A trial balance that balances does not prove the books are correct. Errors of omission, commission, principle, original entry, reversal and compensating errors can all leave it in balance. Only some are detected by the trial balance; the rest require reconciliation and review.

Control accounts summarise the sales and purchases ledgers and are reconciled to their underlying lists. Bank reconciliation explains the difference between the cash book and the bank statement: unpresented cheques, uncredited deposits, bank charges and errors.

Ratio analysis interprets the statements: profitability, liquidity, efficiency and gearing. Ratios are only meaningful in comparison - with a previous year, a competitor or an industry norm - and a single ratio rarely tells you anything certain.

WORKED EXAMPLES

Do it once, slowly

These are not model answers to copy. They show the reasoning a strong student would use, step by step, so you can repeat the process on a question you have not seen.

1. Recording a transaction set

A business starts with 500,000 capital in the bank, buys equipment for 200,000 cash, and buys goods on credit for 80,000. Show the effects.

1. Capital introduced: debit bank 500,000; credit capital 500,000.
2. Equipment purchase: debit equipment 200,000; credit bank 200,000.
3. Credit purchase: debit purchases 80,000; credit payables 80,000.
4. Check the equation: assets = 300,000 bank + 200,000 equipment + 80,000 inventory = 580,000; liabilities 80,000 + capital 500,000 = 580,000.
5. Confirm the trial balance totals agree.

> **What to carry forward**
> Write both sides every time. The equation is the check, not the method.

2. A depreciation calculation

A machine costs 1,200,000, has a residual value of 200,000 and a useful life of five years. Compute straight-line depreciation and the carrying amount after three years.

1. Depreciable amount: 1,200,000 - 200,000 = 1,000,000.
2. Annual charge: 1,000,000 / 5 = 200,000.
3. Accumulated depreciation after three years: 600,000.
4. Carrying amount: 1,200,000 - 600,000 = 600,000.
5. State the assumption: full-year charge, no revaluation.

> **What to carry forward**
> Subtract the residual value before dividing. Forgetting it is the most common error.

EXAM TECHNIQUE

Questions with model answers

Written in the shape your course is usually examined, with the marking logic spelled out. Attempt each one under time before you read the outline.

Q1. Explain why a trial balance may balance even when errors have been made.

15 marks

1. State that the trial balance checks arithmetic equality only.
2. Name errors that preserve equality: omission, commission, principle, original entry, reversal, compensating.
3. Give one example of each briefly.
4. Explain what mechanisms do detect them: control accounts, reconciliation, review.

Q2. Distinguish accruals from prepayments with an example of each.

10 marks

1. Accrual: expense incurred but not yet paid; create a liability.
2. Prepayment: amount paid for a future period; create an asset.
3. Give one adjusting entry for each.
4. Explain the matching principle behind both.

REFERENCE

Glossary

Use these definitions in your own sentences; a copied definition rarely earns full marks.

Accounting equation. Assets equal liabilities plus capital.

Double entry. Recording each transaction with equal debits and credits.

Trial balance. A list of ledger balances used to check arithmetic equality.

Accrual. An expense incurred but not yet paid, recorded as a liability.

Prepayment. An amount paid in advance for a future period, recorded as an asset.

Depreciation. Systematic allocation of the cost of a non-current asset over its useful life.

Carrying amount. Cost less accumulated depreciation.

Control account. A summary account reconciled to the individual ledger balances.

Bank reconciliation. A statement explaining differences between the cash book and bank statement.

Error of principle. Recording a transaction in the wrong class of account.

Compensating error. Two errors that cancel each other in the trial balance.

Gearing. The proportion of a business financed by debt rather than equity.

Your four-week plan

Week 1 - Double entry

Recording.

- Post twenty transactions.
- Extract a trial balance.
- Check the accounting equation.

Week 2 - Adjustments

Accruals and depreciation.

- Make five year-end adjustments.
- Compute depreciation by two methods.
- Write up the adjusted ledger.

Week 3 - Statements

Reporting.

- Prepare a profit or loss statement.
- Prepare a statement of financial position.
- Check that they articulate.

Week 4 - Analysis

Interpretation.

- Compute six ratios.
- Compare two years.
- Identify one error the trial balance would miss.

Where to read more

Entry-level texts you can find in the university library or a departmental reading list. Confirm editions with your lecturer.

- Any introductory financial accounting textbook with exercises and answers.
- A study text on year-end adjustments and depreciation.
- Your professional body's conceptual framework summary.

PRACTICE, NOT PREDICTION

Check your understanding

These questions are written for this pack to test the ideas above. They are not past examination questions and do not predict what your lecturer will set. Answer first, then compare.

1. A business buys equipment for cash. State the double entry.

Answer: Debit equipment account; credit cash account. Both are assets, so the equation stays balanced.

2. What is the effect of drawings on capital?

Answer: Drawings reduce capital and are recorded as a debit to the drawings account.

3. Name two errors that a trial balance will not reveal.

Answer: Error of omission and error of principle; compensating errors and errors of original entry are also hidden.

4. Gross profit is 200,000 and expenses are 75,000. Find net profit.

Answer: Net profit = 200,000 - 75,000 = 125,000.

5. Why is depreciation charged?

Answer: To allocate the cost of a non-current asset over its useful life and match it against the revenue it helps generate.

Your 7-step action plan

Tick each step only when you have done it. A tick you cannot defend is worse than an empty box.

- [ ] Write the accounting equation and classify ten accounts as asset, liability, capital, income or expense.
- [ ] Record 15 transactions in day books and post them to ledger accounts.
- [ ] Balance five ledger accounts correctly.
- [ ] Prepare a trial balance from a list of balances.
- [ ] List six errors that a trial balance will not detect.
- [ ] Prepare a simple income statement with three adjustments.
- [ ] Attempt one past ACC 101 question under timed conditions.

Keep going

One pack will not carry a semester. Pair this with your lecture notes, tutorials, and the past questions your department actually releases. If a topic still feels unclear, take a specific question to your lecturer or course rep - "I do not understand the difference between X and Y" gets a better answer than "I do not understand this course".

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YOUR WORKSPACE

Notes, questions and things to ask

Use this page in class or during revision. Write questions you could not answer instead of copying slides.

Three ideas I can now explain without notes:

A question I still cannot answer:

For my lecturer or course rep:

Next revision action and date:

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